3.9.1 Economies of scale and overtrading

Unit 3.9 Strategic methods: how to pursue strategies · 7 key points

- **Economies of scale:** unit costs fall as output rises
- **Types named by AQA:** technical, purchasing, managerial
- **Economies of scope:** savings from producing a wider range using shared resources
- **Diseconomies of scale:** unit costs rise as the business grows, e.g. poor communication, coordination, motivation
- **Synergy:** combined business performs better than the two separately
- **Overtrading:** growing too fast without enough cash to fund it
- **Trap:** scale is more of the same; scope is a wider range